

# How companies work

**Businesses in the US are registered in the state in which they are domiciled. Most states and the federal government recognize four business structures: sole proprietorship; partnership; corporation; and nonprofit corporation.**

## **Sole proprietorship**

An individual (or married couple) may register their business as a sole proprietorship if they plan to conduct operations on their own. This is the simplest form of business structure. The owner is entitled to all revenues and profits, while maintaining personal responsibility for all debts and liabilities. Income from sole proprietorships is taxed as individual income.

## **Partnerships**

Partnerships are business entities formed by two or more individuals. The most basic form is the general partnership. Partners in a general partnership contribute an agreed-upon share of money, skill, and labor to the enterprise, in exchange for a proportionate share of the profits. Liabilities are thusly divided as well. A limited partnership includes general partners and limited partners (also known as silent partners) who share in the profits but whose losses are generally limited to the size of their initial investment. Similar to a general partnership, a limited liability partnership indemnifies one partner from claims arising from other partners' negligence. Lawyers and doctors frequently operate under this structure.

## **Corporation**

The federal government and states recognize corporations as business entities that are separate and apart from employees and shareholders in terms of income and liabilities. This structure protects management and workers in the case of litigation or other claims, but is more complex and subject to greater regulation than a partnership. Such entities must be registered through articles of incorporation. A corporation may be privately held, in which case

equity is shared by a limited group of stock owners. A publicly held corporation makes shares available to the public through a stock exchange or through over-the-counter markets.

## **Nonprofit corporation**

A nonprofit corporation engages in activities meant to further the public good, such as works in charitable, scientific, educational, or artistic fields. Such organizations, most frequently registered with the Internal Revenue Service (IRS) through form 501(c)(3), are generally tax-exempt at the federal and state level. They may in fact make profits and pay competitive salaries, but are prohibited from engaging in political activities.

## **In Canada**

Businesses in Canada can also be sole proprietorships, partnerships, or corporations. They can also be run as cooperatives, a business that it is owned and controlled by its members. Co-ops are often used by agricultural enterprises. Canadian companies must register in the province or territory in which they are domiciled.

## **Reporting requirements**

Businesses in the US are subject to a range of financial reporting requirements and regulations, depending on structure. Owners of sole proprietorships include income on their individual returns filed annually with the IRS. Corporations must also report income to the IRS, but are subject to additional requirements. Privately held corporations must, at a minimum, file charter documents, including name and address, with the Secretary of State in the state in which they are